PART 1

Investment Products

CHAPTER 8: Equity Securities: Common and Preferred Shares



Chapter Highlights

- The purchase of common or preferred shares represents an ‘ownership’ stake in the company.
- The return on the investment is tied to how well the company does.
- With an investment in a corporate bond, volatility in interest rates can have a big impact on the value of the investment.
- However, as a ‘creditor’ of the company bondholders are given first priority in the event of bankruptcy.

Common Shares

Why do investors purchase common shares?

What are some of the main reasons for selecting this type of investment?

Common Share Rights & Advantages

- Potential for capital appreciation
- The right to dividends
- Favourable tax treatment for dividends and capital gains
- Voting privileges
- Limited liability
- Marketability

Dividends

- **Not a contractual obligation until announced**
- **Record Date**
  - recorded shareholders on this date receive the dividend
- **Cum Dividend**
  - if buy stock will receive dividend
  - up to 2nd business day before record date
- **Ex Dividend**
  - if buy stock will ***not*** receive dividend
  - 1st business day before record date

Dividends

Regular Dividends

- payment of the dividend is maintained, barring changes to the firm's finances/operations

Extra Dividends

- a bonus paid in addition to the regular dividend
- does not imply this extra payment will be made regularly

Stock Dividends

- in the form of additional stock rather than cash
- typically paid by rapidly growing companies
- treated as regular dividends for tax purposes

Dividends

- **DRIP (Dividend Reinvestment Plan)**
  - dividends are used to purchase additional stock in the company and ***not*** paid as cash
  - taxable same as cash dividend
  - shareholders benefit by saving on commission to purchase the underlying stock
  - benefit from dollar cost averaging

Restricted Shares

Shares which have the right to participate to an unlimited degree in the earnings of a company and in its assets on liquidation, but do not have full voting rights.

There are three categories of restricted or special shares:

- **Non-voting**
- **Subordinate voting**
- **Restricted voting**

Can you describe how they differ?

Restricted Shares (cont'd)

- **Non-voting** – shares that are not voting, except perhaps in certain limited circumstances.
- **Subordinate voting** – shares which carry a right to vote, where there is another class of shares outstanding that carry a greater voting right on a per share basis.
- **Restricted voting** – shares which carry a right to vote, subject to a limit or restriction on the number or percentage of shares that may be voted by a person, company or group.

Stock Splits & Consolidations

Stock Split

- To reduce price to a popular trading range.
- Investor owns 100 shares with a current share price of $40.
- Company announces a 2:1 split.
  - 2 new shares for every 1 old share
  - investor now holds 200 shares
  - price adjusted to $20 a share

Impact on the investor's proportionate ownership?

Stock Splits & Consolidations

Consolidation or Reverse Split

- To raise market price & improve a company's ability to refinance
- 1:10 reverse split when price is 40¢
- Investor owns 1,000 shares
  - 1 new share for every 10 old shares
  - now hold only 100 shares
  - price adjusted to $4

Impact on investor's proportionate ownership?

Stock Quote

High	Low	Stock	Div.	High	Low	Close	Change	Volume
12.55	9.25	BEC	.50	10.65	10.25	10.35	+.50	6,000

High	–	52 week high of $12.55 per share
Low	–	52 week low of $9.25 per share
BEC	–	Name of the company
Div.	–	Paid $0.50 in dividends in last 52 weeks
High	–	Day high of $10.65 per share
Low	–	Day low of $10.25
Closed	–	Last trade was made at $10.35
Change	–	The closing price was $0.50 higher than the previous trading day's closing trade price
Volume	–	6,000 common shares traded that day

Preferred Shares

Why are they called Preferred Shares?

- Dividends must be paid before common share dividends.
- In cases of business failure, preferreds rank ahead of common shareholders.

Why Issue Preferred Shares?

Over Debt

- No “contractual obligations” to pay dividends
- No maturity date
- Greater flexibility for company

Over Common

- Preferred shareholders are only entitled to a “fixed” return (no dilution of earnings)
- No dilution of control – most are non-voting

Why Preferreds as an Investment?

- Cash flows – tax advantaged dividends
- Preference in dividends and assets on wind-ups

Dangers

- Purchasing power risk
- Increases in interest rates
- Dividends could be passed over
- The company could fail

Preferred Share Features

- Par value
- Maturity Date $\Rightarrow$ no maturity date
- Voting Rights $\Rightarrow$ non-voting if dividends paid on schedule
- Cumulative
  - unpaid dividends accumulate in arrears
  - preferred dividend arrears must be paid before common dividends paid
- Redeemable/Call Feature
- Sinking/Purchase Fund

Types of Preferreds

Convertible

- right to convert to common shares at specified time & price

Retractable

- creates a “maturity” date
- investor can force company to buy back at a specified time & price

Floating-Rate or Variable Rate

- dividend fluctuates with changes in interest rates

Foreign Pay

- dividend payable in foreign currency

Preferred Features – Convertibles

Advantages

- potential capital gain on the common
- security of preferred
- higher yield than common

Disadvantages

- lower yield than straight preferred

Preferred Features – Retractables

Advantages

- retraction date
- desirable as market rates rise (can reinvest proceeds at a higher rate)
- price less volatile as approach retraction date

Disadvantages

- retraction privilege expires

Preferred Features – Floating

Advantages

- protection against interest rate increases
- price less volatile

Disadvantages

- dividends will decrease if interest rates fall

Preferred Features – Foreign Pay

Advantages

- if strong currency, foreign exchange gains

Disadvantages

- foreign exchange risk if currency value declines

Other Types of Preferreds

Deferred Shares:

- Pays no dividend until a future maturity date.
- Dividends compound without having to pay annual taxes.
- The ‘dividend premium’ is not eligible for the dividend tax credit.
- At maturity the accrued dividends are treated as interest income.
- If sold prior, it is treated as a capital gain (or loss).

Stock Indexes and Averages

- Canadian Market Indexes
  - S&P/TSX Composite, S&P/TSX 60, S&P/TSX Venture
- U.S. Stock Market Indexes and Averages
  - DJIA, S&P 500, AMEX, NYSE, NASDAQ, Value Line
- International Market Indexes and Averages
  - Nikkei, FTSE 100, DAX, CAC 40, Swiss Market